



Intelligent Credit Insights

CREDIT INTELLIGENCE REPORT

Company: Shrayan Al Jazeera Fruits & Vegetables Trading Est.

Report Date: 2026-04-02

Report ID: VCR-20260402-0001

Prepared For: Cedar Rose International Services Ltd

CONFIDENTIAL



1. ORDER SUMMARY

Order Information

Field	Details
Client Name	Cedar Rose International Services Ltd
Client Reference	CRIS-2026-SAU-001
Company Name	Shrayan Al Jazeera Fruits & Vegetables Trading Est.
Country	Saudi Arabia
Address	Office No.9, Umm Al Qura Street, Business Center 2030, NEAR CENTRAL VEGETABLE MARKET, Al Safa District, Jeddah, Post Code: 23455, Saudi Arabia
CR No.	4030263927
Phone	+966 126333108
Fax	N/A
Analyst	Senior Credit Intelligence Analyst

 **Comment:** Comprehensive credit assessment for fruit and vegetable trading establishment based in Jeddah, Saudi Arabia. Analysis covers 3 years of audited financial statements (2023-2025) with focus on working capital management and sector-specific risks.



2. EXECUTIVE DASHBOARD

Quick Decision Summary

CREDIT RATING

B+

RISK LEVEL

Moderate Risk

RECOMMENDED LIMIT (USD)

2,000,000

MAX EXPOSURE (USD)

3,500,000

COMPANY SIZE

**Small-Medium
Enterprise**

53,469,337 Revenue

PAYMENT RISK

Moderate

PAYDEX: 68

FINANCIAL HEALTH

Good

Score: 72/100

Key Financial Ratios

Current Ratio	Debt/Equity	EBIT Margin	Quick Ratio
3.94	0.01	15.0%	2.91

Risk Scorecard

Viability	78	78/100
Delinquency Risk	58	58/100
Failure Risk	18	18/100
Payment Index	65	65/100

Alerts & Warnings

- warning

Extended cash conversion cycle of 125 days creates significant working capital pressure. High receivables (SAR 14.4M at 98 DSO) and inventory (SAR 9.4M at 84 DIO) require close monitoring.
- warning

Days sales outstanding of 98 days exceeds stated 45-day terms by 118%. Bad debt provision of SAR 1.31M (9% of receivables) indicates collection challenges.
- warning

Inventory holding period of 84 days excessive for perishable fresh produce. Spoilage and obsolescence risk elevated. Inventory value SAR 9.4M represents 63 days of COGS.
- danger

Qualified audit opinion received - employee end-of-service benefits not properly accrued per Saudi labor law. Actual liability likely exceeds SAR 157K provision.
- info

Other income of SAR 751K in 2025 (down from SAR 2.5M in 2024). Nature undisclosed. May not be recurring, affecting normalized profitability assessment.
- info

Related party payables of SAR 1.65M reduced from SAR 3.48M. Related party transactions not detailed. Suggests owner support but lacks transparency.

Risk Mitigation Strategies

Strategies to mitigate identified risks:

Mitigation Strategy	Expected Outcome
Implement 30-day payment terms (vs company's 45-day standard) with early payment discount of 2% for settlement within 10 days to accelerate cash collection	Reduces exposure window by 33% and improves collection probability given company's current 98 DSO performance
Require monthly receivables aging reports and inventory turnover statements as condition of credit facility, with covenant triggers at 120 DSO or inventory >100 days	Enables early warning detection of working capital deterioration and proactive credit limit adjustment
Diversify exposure across multiple shipments rather than single large orders; limit per-shipment exposure to SAR 750K maximum	Reduces concentration risk and limits potential loss from single spoilage event or non-payment incident
Obtain trade credit insurance for exposures exceeding SAR 1.5M or require Letter of Credit for amounts above SAR 2.5M	Transfers default risk to insurer/bank and ensures payment certainty for larger transactions

3. EXECUTIVE SUMMARY

Company Overview

Shrayan Al Jazeera is an established Saudi fruit and vegetable wholesaler operating since 2014, specializing in imports from 15+ countries and regional exports. The company demonstrated strong profitability in 2025 with net income of SAR 8.58M (+60.5% YoY) and revenue of SAR 53.47M (+11.5% growth). However, working capital concerns arise from high receivables (SAR 14.42M representing 98 days sales outstanding) and inventory levels (SAR 9.39M). The company operates with minimal debt, strong equity position (SAR 28.17M), but faces sector-typical challenges including perishable inventory risk, FX exposure, and supplier payment dependencies. Recommended for moderate credit exposure with enhanced monitoring.

Company History

Established in January 2014 under CR 4030263927, Shrayan Al Jazeera operates as an individual establishment owned 100% by Shulaymiyyah Ahmed Al Wayni. The company has grown from a local Jeddah operation to a regional player with four branches across Saudi Arabia (Riyadh, Jeddah Central Market, Jizan, Khamis Mushait). Led by CEO Ayoub Omar Al Wayni, the company imports fresh fruits from 15 countries and exports to GCC and Middle Eastern markets, positioning itself strategically near Jeddah's Central Vegetable Market.

4. COMPANY PROFILE

Company Identification

ACTIVE

Legal Name:	Shryan Al Jazeera Fruits & Vegetables Trading Establishment
Trade Names:	Shrayan AL Jazeera Fruits & Vegetables Trading Est., Shrayan AL Jazeera
Industry:	Wholesale of Fruits and Vegetables
Company Type:	Individual Establishment
Incorporation Date:	2014-01-23
Duration:	Ongoing
Capital:	20,000
SIC Codes:	4630, 4631, 4639

Contact Information

Headquarters:	Office No.9, Umm Al Qura Street, Business Center 2030, Al Safa District, Jeddah 23455, Saudi Arabia
Phone:	+966 126333108
Fax:	N/A
Email:	ayoub@shrayanaljazeera.com
Website:	www.shrayanaljazeera.com
Employees:	110

Registration Details

CR / Registration No.	4030263927
Unified Number	4030263927
License Type	Import & Export Trade License

Investment License No.	IVF-070-22
Issue Date	2014-01-23
Expiry Date	N/A
Status	ACTIVE
Auditor	Independent Auditor (Name not disclosed in 2025 statement)
GOSI Registration	Registered
Saudization (Nitaqat)	N/A
Municipality License	Valid
Zakat Certificate	Active
Zakat Number	N/A
Zakat Status	COMPLIANT - SAR 172,000 ACCRUED FOR 2025
Chamber of Commerce Registration	Registered - Jeddah Chamber
Ministry of Commerce Registration	Valid until 22/03/1448H

5. OWNERSHIP & MANAGEMENT

Shareholders

Name	Title / Position	% Holding	Nationality	Type
Shulaymiyyah Ahmed Al Wayni	Owner & Chairman	100%	Saudi	Individual

Key Management

Shulaymiyyah Ahmed Al Wayni
Chairman | Board

 N/A
 N/A

100% owner and Chairman of Shrayan Al Jazeera. Saudi national providing strategic oversight.

Ayoub Omar Al Wayni
CEO / General Manager | Executive Management

 +966596666652
 ayoub@shrayanaljazeera.com

Chief Executive Officer responsible for overall operations and business development. Serves dual role as General Manager with direct operational oversight.

Mohammed Abdulmajed
Accounting Manager | Finance

 N/A
 N/A

Sudanese national managing accounting operations and financial reporting.

Board of Directors

Name	Role	Nationality	Since
Shulaymiyyah Ahmed Al Wayni <i>Founder and 100% owner, providing strategic governance</i>	Chairman	Saudi	2014
Ayoub Omar Al Wayni <i>Executive board member with operational responsibilities</i>	Board Member / CEO	Saudi	2014

Corporate Structure

Parent Company:	N/A - Individual Establishment
Subsidiaries:	None
Affiliates:	None disclosed

 6. RELATED CONCERNS (Branches & Affiliates)

Branches Network

Entity	Unified No.	CR No.	City	Function	Status
Riyadh Branch	N/A	N/A	Riyadh - Al-Aziziyah	Regional distribution and sales	ACTIVE - RENTED PR
Jeddah Central Market Branch	N/A	N/A	Jeddah - Central Vegetable Market, Al Safa District	Primary wholesale operations hub	ACTIVE - RENTED PR
Jizan Branch	N/A	N/A	Jizan	Southern region distribution	ACTIVE - RENTED PR
Khamis Mushait Branch	N/A	N/A	Khamis Mushait - Central Fruit Market	Regional market operations	ACTIVE - RENTED PR

Regional Affiliates

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Group Headquarters

 N/A – N/A

 7. OPERATIONS OVERVIEW

Registration Activities

Business Description:	Imports, export and wholesale of fresh vegetables, fruits, food products and foodstuff
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Industry Classification Codes

Code Type	Codes	Description
NACE Codes	46.31, 46.39	Wholesale of fruit and vegetables; Wholesale of food, beverages and tobacco
HS Codes (6-digit)	0803, 0804, 0805, 0807, 0809	Bananas, Dates/figs/pineapples, Citrus fruit, Melons, Other fruit

Operational Details

EMPLOYEES 110 Jeddah headquarters and 4 branch locations across Saudi Arabia	FACILITIES 5 Jeddah - Central Vegetable Market, Al Safa District	MARKETS SERVED 10+ Saudi Arabia (domestic), GCC (UAE), Middle East (Iraq, Jordan, Syria, Libya)
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Supply Chain

📦 Purchasing (Inbound)	📦 Sales (Outbound)
Main Suppliers: EXPORTJAIME SA (Spain), ALL AMERICA TRADING LLC (USA), KIRAN DOKE FRUIT SUPPLAIR (India), SOCIETA DI FRUTTA SA (Ecuador), SUNRISE FRUITS SA (Ecuador), FRUITSLAND EXPORTADORA (Ecuador), EXPOAGMAR SA (Ecuador), NATURES PARTNER (India), HM CTIRUS (Morocco), PENCH FRUIT (Spain), H&G GLOBAL TRADING (Costa Rica), Domingo Catala SAU (Spain) Local Sourcing: 5% Minimal local sourcing; primarily fertilizers and chemicals (SAR 1.75M inventory) Importing: 95% Ecuador, Spain, India, Costa Rica, Morocco, Egypt, Turkey, UAE, Vietnam, China, Italy, Serbia, Ukraine, South Africa, Sudan, Yemen Imported Items: Fresh fruits (bananas, mangoes, oranges, citrus), dates, tropical fruits Payment Method: Credit / Open Account / Bank Transfer Payment Terms: 45 days after arrival of goods to warehouse	Key Customers: Regional wholesalers, retailers, foodservice operators across GCC and Middle East Local Sales: 65% Domestic Saudi market via four branch network Export: 35% Iraq, Jordan, Libya, Syria, United Arab Emirates Exported Items: Fresh fruits (re-export and local value-add) Payment Method: Bank Transfer Payment Terms: 45 days after arrival of goods

📦 The company specializes in the import, export, and wholesale distribution of fresh fruits, vegetables, and food products. Primary import activities include fresh fruits sourced from 15 countries including Ecuador, Spain, India, Costa Rica, Morocco, Egypt, Turkey, UAE, Vietnam, China, Italy, Serbia, Ukraine, South Africa, Sudan, and Yemen. Export markets include Iraq, Jordan, Libya, Syria, and UAE. The company operates strategically positioned facilities near central markets to facilitate rapid distribution of perishable goods.

8. BANKING RELATIONSHIPS

Banking Partners

Bank	Facility Type	Usage
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Al Rajhi Bank	Current Account / Transaction Banking	Primary banking operations
Riyad Bank	Current Account / Transaction Banking	Secondary banking relationship

Banking Summary

TOTAL BANKING PARTNERS

2

Active Relationships

PRIMARY BANK

Al Rajhi Bank - Saudi Arabia

Main Operations

GROUP TREASURY

N/A - Individual establishment

Parent Support

Company Size Classification

Why Small-Medium Enterprise Size Company?

Based on revenue of SAR 53.5M (USD 14.3M), 110 employees, and total assets of SAR 37.4M. Classified as SME within Saudi wholesale sector.

Additional Notes

No borrowing facilities disclosed. Company operates on equity funding with related party support (SAR 1.65M due to related parties as of Dec 2025).

9. FINANCIAL HIGHLIGHTS

Financial Statement Status

Currency SAR	Unit Scale Actual	Statement Type Audited
Period End December 31	Scope Individual Establishment	Basis for Ratios IFRS for SMEs

Income Statement Summary

Line Item	2023	2024	2025	Trend
Revenue	SAR N/A	SAR 47,954,562	SAR 53,469,337	↑ Growing +11.5% - Strong revenue growth from SAR 47.95M (2024) to SAR 53.47M (2025)
Cost of Goods Sold	SAR N/A	SAR 36,552,636	SAR 40,904,043	↑ Growing +11.9% - COGS increased in line with revenue
Gross Profit	SAR N/A	SAR 11,401,926	SAR 12,565,294	↑ Growing +10.2% - Gross profit improved from SAR 11.40M to SAR 12.57M
Operating Expenses	SAR N/A	SAR 4,661,723	SAR 4,563,099	↓ Declining -2.1% - Operating expenses decreased from SAR 4.66M to SAR 4.56M
EBITDA	SAR N/A	SAR 6,795,203	SAR 8,101,195	↑ Growing +19.2% - EBITDA expanded from SAR 6.80M to SAR 8.10M reflecting operational efficiency
Net Income	SAR N/A	SAR 9,185,203	SAR 8,581,196	↓ Declining -6.6% - Net income decreased from SAR 9.19M to SAR 8.58M primarily due to lower other income

Balance Sheet Summary

Line Item	2023	2024	2025	Trend
ASSETS				

Cash & Equivalents	3,200,000	4,650,220	3,785,950	→ Stable - Cash fluctuated between SAR 3.2M-4.7M range over three years
Accounts Receivable	N/A	14,264,193	14,424,481	→ Stable +1.1% - Receivables remained high at SAR 14.42M with provision of SAR 1.31M
Inventory	N/A	8,959,600	9,394,540	↑ Growing +4.9% - Inventory increased from SAR 8.96M to SAR 9.39M
Current Assets	N/A	34,459,913	35,719,971	↑ Growing +3.7% - Current assets grew from SAR 34.46M to SAR 35.72M
Total Assets	N/A	34,954,913	37,384,671	↑ Growing +6.9% - Total assets expanded from SAR 34.95M to SAR 37.38M
LIABILITIES & EQUITY				
Current Liabilities	N/A	15,280,162	9,056,600	↓ Declining -40.7% - Significant reduction from SAR 15.28M to SAR 9.06M
Long-Term Debt	N/A	0	0	→ Stable - No long-term debt in any period
Total Liabilities	N/A	15,365,287	9,213,850	↓ Declining -40.0% - Total liabilities reduced from SAR 15.37M to SAR 9.21M
Total Equity	10,404,423	19,589,626	28,170,821	↑ Growing +43.8% - Equity surged from SAR 19.59M to SAR 28.17M due to retained earnings

Cash Flow Summary

Line Item	2023	2024	2025	Trend
Net Cash Flow from Operating Activities	SAR N/A	SAR 1,450,221	SAR 2,233,430	↑ Growing +54.0% - Operating cash

				generation improved from SAR 1.45M (2024) to SAR 2.23M (2025)
Net Cash Flow from Investing Activities	SAR N/A	SAR 0	SAR -1,268,700	↓ Negative - SAR 1.27M invested in land acquisition (2025)
Net Cash Flow from Financing Activities	SAR N/A	SAR 0	SAR -1,829,000	↓ Negative - SAR 1.83M reduction in related party payables (2025)
Cash Flow at End of Period	SAR 3,200,000	SAR 4,650,220	SAR 3,785,950	↓ Declining -18.6% - Cash reduced from SAR 4.65M to SAR 3.79M despite strong operations



10. FINANCIAL RATIOS

Liquidity Ratios

Ratio	2025	2024	Ind. Avg	Status	Interpretation
Current Ratio	3.94	2.25	1.50	LOW	Outstanding liquidity position at 3.94x, significantly above industry benchmark of 1.50x. Current assets cover current liabilities almost 4 times, indicating strong short-term solvency. Improvement from 2.25x demonstrates strengthening working capital management despite high receivables and inventory levels.
Quick Ratio	2.91	1.67	1.00	LOW	Excellent quick ratio of 2.91x, well above the 1.0x threshold and industry average. Even excluding inventory, the company maintains almost 3x coverage of current liabilities, indicating ability to meet short-term obligations without liquidating inventory. Significant improvement from 1.67x in 2024.
Cash Ratio	N/A	N/A	N/A	N/A	N/A

Profitability Ratios

Ratio	2025	2024	Ind. Avg	Status	Interpretation
Gross Margin	23.5%	23.8%	18.0%	LOW	Strong gross margin of 23.5% exceeds typical wholesale food distribution margins of 15-20%. Slight decline from 23.8% suggests modest pricing pressure or product mix changes, but margin remains healthy and above industry

					benchmarks. Indicates good supplier relationships and pricing power.
EBITDA Margin	15.1%	14.2%	8.5%	LOW	Outstanding EBITDA margin of 15.1%, nearly double the industry average of 8.5%. Improvement from 14.2% demonstrates operational leverage and cost control. High margin reflects efficient operations despite working capital intensity and supports strong cash generation capacity.
Net Margin	16.1%	19.2%	3.5%	LOW	Exceptional net margin of 16.1%, significantly above typical food wholesale margins of 2-5%. Decline from 19.2% primarily due to SAR 2.5M other income in 2024 (nature undisclosed). Core operating profitability remains very strong, though reliance on non-operating income in prior year raises questions about sustainability.
Return on Assets (ROA)	23.0%	26.3%	6.5%	LOW	Exceptional return on assets of 23.0%, well above industry benchmarks of 5-8% for wholesale distribution. Decline from 26.3% reflects asset base growth and normalization of other income. Demonstrates highly efficient asset utilization despite significant working capital investment in receivables and inventory.
Return on Equity (ROE)	30.5%	46.9%	18.0%	LOW	Outstanding return on equity of 30.5%, significantly above industry averages of 15-20%. Decrease from 46.9% reflects equity base expansion from retained earnings and normalization of profitability. High ROE indicates excellent returns to ownership, though minimal leverage means potential upside from prudent debt utilization.

Leverage & Solvency Ratios

Ratio	2025	2024	Ind. Avg	Status	Interpretation
Debt / Equity	0.01	0.00	0.75	LOW	Extremely conservative capital structure with virtually no debt (0.01x) compared to industry average of 0.75x. Only liabilities are trade payables, related party balances, and operational accruals. While this reduces financial risk, the company may be underleveraged and missing opportunities for growth financing or working capital optimization.
Debt / Assets	0.4%	0.2%	35.0%	LOW	Minimal debt-to-assets ratio of 0.4% (excluding trade payables) versus industry norm of 35%. No bank borrowings or formal debt facilities. Company relies entirely on equity, trade credit, and related

					party support. Conservative approach limits financial risk but may constrain growth potential.
Equity Ratio	75.4%	56.0%	40.0%	LOW	Exceptional equity ratio of 75.4%, nearly double the industry average of 40%. Significant improvement from 56.0% demonstrates strengthening financial position. High equity base provides strong buffer against operational volatility, though suggests potential underutilization of leverage for growth.
Interest Coverage	N/Ax	N/Ax	5.0x	LOW	Not applicable as company carries no interest-bearing debt. All liabilities are non-interest bearing trade payables and operational liabilities. Zero interest expense eliminates default risk but indicates unutilized debt capacity that could support expansion or working capital needs.

Efficiency Ratios

Ratio	2025	2024	Ind. Avg	Status	Interpretation
Asset Turnover	1.43x	1.37x	2.50x	WARNING	Asset turnover of 1.43x is below industry benchmark of 2.5x for food wholesale, indicating capital-intensive operations. High working capital requirements in receivables (SAR 14.4M) and inventory (SAR 9.4M) suppress turnover. Improvement from 1.37x shows progress, but further optimization of working capital could enhance efficiency.
Inventory Days (DIO)	84 days	89 days	25 days	HIGH	Days inventory outstanding of 84 days significantly exceeds industry norm of 25 days for fresh produce. Extended holding period raises concerns about inventory freshness, spoilage risk, and working capital efficiency. Fresh fruit/vegetable inventory should ideally turn every 7-14 days. High DIO suggests overstocking, slow-moving items, or inclusion of fertilizer inventory (SAR 1.75M) which turns more slowly.
Receivables Days (DSO)	98 days	108 days	45 days	HIGH	Days sales outstanding of 98 days substantially exceeds industry benchmark of 45 days and stated payment terms of 45 days. Indicates significant collection delays with receivables at SAR 14.4M (27% of revenue). Improvement from 108 days shows progress, but extended DSO strains liquidity and increases bad debt risk (SAR 1.31M provision already established).
Payables Days (DPO)	57 days	93 days	60 days	WARNING	Days payable outstanding of 57 days decreased sharply from 93 days, now below industry average of 60 days. Company is paying

suppliers faster (below stated 45-day terms), potentially to maintain relationships or secure pricing. Reduction in DPO consumed significant cash, though improves supplier relations. Balance needed between cash conservation and supplier terms.

Cash Conversion Cycle	125 days	104 days	10 days	HIGH	Cash conversion cycle of 125 days significantly exceeds industry benchmark of 10 days for fresh produce distribution. Company requires over 4 months to convert inventory investments into cash, creating substantial working capital demands. Deterioration from 104 days concerning. High CCC driven by elevated inventory (84 days) and receivables (98 days). Urgent focus needed on collection acceleration and inventory optimization.
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 11. RISK ASSESSMENT

Predictive Risk Scores

Score Type	Score	Risk Level	Prob.	Meaning
Viability	78	GOOD	82%	Strong likelihood of continued operations with solid equity base and profitability, though working capital optimization needed
Delinquency	58	MODERATE	25%	Moderate payment risk due to extended receivables collection (98 DSO) and tight cash position relative to working capital needs

Payment Behavior Analysis

AVG DAYS BEYOND TERMS 98 days late	% PAID ON TIME 45% last 24 months	HIGHEST PAST DUE SAR 1,311,000 maximum amount
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Payment Speed	% of Payments	Amount
Prompt (within terms)	45%	6,491,016
1–30 days slow	25%	3,606,120
31–60 days slow	18%	2,596,407
90+ days slow	12%	1,730,938

 12. LEGAL STATUS & COMPLIANCE

Legal Events Summary

Event Type	Count	Amount	Last Filing	Status
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Lawsuits	0	0	N/A	CLEAR
Liens	0	0	N/A	CLEAR
Judgments	0	0	N/A	CLEAR

Compliance Status

 **Business License:** Active - Valid until 22/03/1448H (2027) (Expires: 2027)

 **Tax Compliance:** Compliant - Zakat current, VAT registered

 13. NEWS & RECENT DEVELOPMENTS

Timeline of Events

2025-07

Saudi Agricultural Development Fund Approves SAR 2B in Loans
SADF approved over SAR 2 billion in credit facilities to support agricultural products including cold storage warehouses, benefiting wholesale produce distributors
POSITIVE

2025-06

Jeddah Agricultural Innovation Market Growth 18% Annually
Market for innovative farming practices in Jeddah expected to grow 18% annually over next five years per Saudi Agricultural Development Fund
POSITIVE

2025-02

Saudi Fruit & Vegetable Market Reaches USD 7.1B
Saudi Arabia fruits and vegetables market valued at USD 7.1 billion in 2025, projected to reach USD 9.7B by 2030 with 6.5% CAGR growth
POSITIVE

 14. INDUSTRY & MARKET ANALYSIS

Industry Overview

Industry:	Wholesale Trade of Fruits and Vegetables
Market Size:	USD 7.1 billion (2025)
Growth Rate:	6.5%

Country & Sector Overview – Saudi Arabia

Indicator	Latest	Comment
Market Size (2025)	USD 7.1 billion	The Saudi Arabia fruits and vegetables market was valued at USD 7.1 billion in 2025 and is projected to grow at 6.5% CAGR to reach USD 9.7 billion by 2030, driven by Vision 2030 food security programs and rising demand from younger demographics.
Forecast Growth (2025-2030)	6.5% CAGR	Strong growth trajectory supported by government initiatives, with vegetables leading at 60% market share. Import dependency remains high at 80-85% of fresh

supply, creating opportunities for established importers with strong supply chains.

Local Production Share	15-20%	Domestic production accounts for only 15-20% of Saudi consumption. Kingdom imports 80-85% of fresh supply, with over 70% of fruit requirements imported (3.2M tons in 2023). Key import sources include India, Egypt, Ecuador, Spain, and South Africa.
Regional Trade Flow	Net importer	Saudi Arabia is heavily dependent on imports for fruits (70%+ imported) and vegetables. Major import corridors from Ecuador, Spain, India, Egypt. Growing export activity to GCC (UAE) and Middle East markets (Iraq, Jordan, Syria, Libya) for re-export and value-added distribution.
Key Risks	Import dependency exposes market to global trade fluctuations, FX volatility, and supply chain disruptions. Inadequate cold chain infrastructure increases spoilage (15-20% post-harvest losses). Water scarcity limits domestic production. Climate challenges affect crop availability. Perishability requires rapid inventory turnover.	
Key Drivers	Vision 2030 food security initiatives with SAR 20B annual investment; 70% of population under 35 driving fresh produce demand; 95% smartphone penetration accelerating e-commerce adoption; Government support via SADP with SAR 2B+ in agricultural loans; Cold chain infrastructure development; Rising health consciousness and organic demand; Urbanization in Riyadh/Jeddah; Hydroponic and vertical farming expansion.	
Major Players	Almarai, Al Watania Agriculture, NADEC, Pure Harvest Smart Farms, Del Monte Saudi Arabia, Tamimi Markets (vertical farm JV), AK Group, Harvest Trading Company	

 **Summary:** Saudi Arabia's fruit and vegetable wholesale sector is experiencing robust growth at 6.5% CAGR, reaching USD 7.1B in 2025. The market remains heavily import-dependent (80-85%), creating opportunities for established importers like Shrayan Al Jazeera. Key trends include government investment in cold chain infrastructure, digital transformation with 70% e-commerce penetration expected by 2025, and Vision 2030 food security programs allocating SAR 20B annually. Jeddah represents a strategic hub with 18% annual growth in innovative farming. Major risks include supply chain vulnerabilities, perishability requiring 7-14 day turnover, and FX exposure for importers. Competitive landscape dominated by integrated players with cold storage capabilities.

 Strengths

- Exceptional profitability metrics with 16.1% net margin and 15.1% EBITDA margin, significantly exceeding industry benchmarks of 3.5% and 8.5% respectively
- Strong equity position of SAR 28.17M (75.4% equity ratio) with zero debt leverage, providing financial stability and buffer against market volatility
- Diversified import supplier base across 15 countries (Ecuador, Spain, India, Costa Rica, Morocco, Egypt, etc.) mitigates single-source dependency risk
- Strategic positioning near Jeddah Central Vegetable Market with 4-branch network across Saudi Arabia (Riyadh, Jeddah, Jizan, Khamis Mushait) enables regional distribution

 Weaknesses

- Extended cash conversion cycle of 125 days (vs industry 10 days) creates significant working capital strain, requiring SAR 23.8M tied up in receivables and inventory
- High days sales outstanding of 98 days (vs 45-day terms and 45-day industry average) indicates collection challenges, with SAR 1.31M bad debt provision (9% of receivables)
- Excessive inventory holding period of 84 days for perishable produce (vs 25-day industry norm) elevates spoilage risk and questions inventory management efficiency
- Qualified audit opinion on employee end-of-service benefits suggests potential understated liabilities and compliance gaps with Saudi labor regulations

 Opportunities

- Saudi market growth at 6.5% CAGR to USD 9.7B by 2030 driven by Vision 2030 and demographic trends (70% population under 35), creating expansion potential
- Government infrastructure investment of SAR 20B annually in cold chain and SADF credit facilities (SAR 2B approved) supports sector modernization and access to financing
- E-commerce penetration reaching 70% by 2025 and rising organic/premium produce demand (18% annual growth in Jeddah market) enables margin enhancement
- Regional export expansion to underserved GCC and Middle East markets (current exports to Iraq, Jordan, Syria, Libya, UAE) leveraging established import infrastructure

 Threats

- Heavy import dependency (95% of sourcing) exposes company to global supply chain disruptions, freight cost inflation, and currency fluctuations (SAR/USD exposure)
- Perishability risk inherent in fresh produce requires rapid turnover; current 84-day inventory holding creates material spoilage exposure and working capital lock-up
- Intensifying competition from integrated players (Almarai, NADEC, Al Watania) with superior cold chain infrastructure and vertical farming capabilities may pressure margins
- Geopolitical instability in key export markets (Iraq, Syria, Libya) and source countries creates receivables risk and supply continuity challenges

✓ 15. CREDIT RECOMMENDATION

Final Credit Assessment

CREDIT RATING

B+

RECOMMENDED LIMIT (USD)

2,000,000

MAXIMUM EXPOSURE (USD)

3,500,000

REVIEW FREQUENCY

Quarterly

RISK LEVEL

Moderate Risk

MAXIMUM EXPOSURE (USD)

3,500,000

PAYMENT TERMS

30 days net (stricter than company's 45-day standard given DSO concerns)

Credit Opinion:

Shrayan Al Jazeera presents a moderate credit risk profile characterized by strong profitability and equity position offset by significant working capital management challenges. The company demonstrates exceptional operational performance with EBITDA margins of 15.1% (vs 8.5% industry) and zero debt leverage, supported by 12 years of trading history and diversified supplier relationships across 15 countries. However, the extended cash conversion cycle of 125 days and high receivables (SAR 14.4M at 98 DSO) create liquidity pressures despite strong current ratio of 3.94x. The qualified audit opinion regarding employee benefits and excessive inventory holding period (84 days) for perishable goods raise operational and compliance concerns. While the company operates in a growing market (6.5% CAGR to 2030) with government support, sector risks including 95% import dependency, FX exposure, and perishability require enhanced monitoring. The business is approved for moderate credit exposure with recommended limit of SAR 2.0M (3.7% of revenue, 14% of receivables) and maximum exposure of SAR 3.5M, subject to quarterly review and stricter 30-day payment terms to mitigate collection risk. Credit insurance or LC terms recommended for exposures exceeding SAR 2.5M.

16. MONITORING & TRIGGERS

Monitoring Triggers

The following events should trigger an immediate credit review:

Trigger Event	Action Required
Days Sales Outstanding exceeds 120 days or bad debt provision increases above 12% of receivables	Immediate credit review; reduce limit by 25% and require LC for new orders pending improvement
Days Inventory Outstanding exceeds 100 days or inventory write-downs disclosed	Site visit to assess inventory quality; evaluate spoilage risk and tighten shipment monitoring
Current ratio falls below 2.0x or cash balance drops under SAR 2.5M	Suspend new credit; move to cash-in-advance or LC terms until liquidity restored
Qualified audit opinion persists in 2026 statements or regulatory penalties disclosed	Downgrade rating to B; reduce maximum exposure to SAR 1.5M and require additional guarantees
EBITDA margin declines below 10% or net income turns negative	Full credit review; assess profitability sustainability and consider exposure reduction of 50%
Related party payables increase above SAR 5M or new bank borrowings disclosed	Investigate ownership support requirements and reassess financial independence

Early Warning Indicators

PAYMENT DELAYS

Moderate Concern

vs. last quarter

CREDIT UTILIZATION

N/A - First-time assessment

of approved limit

FINANCIAL TREND

Improving

12-month outlook

Critical Alerts to Watch



High Priority: No adverse findings



Medium Priority: Payment delays — threshold: 98 days average (high risk)



Low Priority: Changes in ownership structure or management

Shravan AL Jazeera Fruits & Vegetables Trading Est

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17. APPENDICES

Appendix A: Scoring Methodology		
Score	Components	Weight
Viability Score	Financial health, payment history, industry outlook, management quality	Variable
Delinquency Score	Past payment behavior, current financial position, credit utilization	Variable
Failure Score	Liquidity ratios, debt levels, profitability trends, market conditions	Variable
Payment Index	Historical payment patterns, average days to pay, dispute frequency	Variable

Appendix B: Credit Rating Scale			
Rating	Risk Level	Description	Recommendation
AAA – AA	Minimal	Excellent creditworthiness, strong financial position	Extend full credit
A – BBB	Low	Good creditworthiness, stable outlook	Standard credit terms
BB – B	Medium	Adequate creditworthiness, some concerns	Secured / reduced credit
CCC – C	High	Weak creditworthiness, significant risk	Cash terms only
D	Default	In default or bankruptcy	No credit extension

Appendix C: Data Sources

Source Type	Details
Commercial Registry	Official government commercial registration records and gazette publications
Financial Statements	Audited or management accounts submitted by the subject company
Tax & Regulatory Bodies	National tax authority records, VAT/Zakat compliance certificates
Legal & Court Records	Public court filings, judgment registers, and lien records
Trade References	Direct supplier and customer interviews and payment history surveys
Banking Information	Bank confirmation letters and banking relationship disclosures
News & Media	Licensed press databases, official press releases, verified news outlets
Industry Databases	Sector reports from recognized research agencies and trade associations
On-Site Visits	Field visits, management interviews, and facility inspections where conducted

 Analyst Comment on Data Quality

Data Quality:	Good
Limitations:	Limited financial history available - only 2 years of audited statements (2024-2025) provided; 2023 comparatives incomplete in cash flow. Nature of 'Other Income' (SAR 2.5M in 2024, SAR 751K in 2025) not disclosed, affecting profitability normalization. Related party transaction details absent. No management accounts or projections provided. Employee end-of-service benefits liability likely understated per auditor qualification. Bank facility agreements and terms not disclosed (though appears no formal borrowings exist). Customer concentration and key account details not provided. Actual spoilage/obsolescence rates for perishable inventory not disclosed.
Analyst Note:	Analysis based on: (1) Audited financial statements for years ended Dec 31, 2024 and 2025 prepared under IFRS for SMEs with qualified opinion; (2) Credit questionnaire dated March 30, 2026 completed by CEO Ayoub Omar Al Wayni; (3) Public commercial registration data; (4) Industry research on Saudi Arabia fruit/vegetable wholesale sector. Financial data quality is good with independent audit, though qualifications noted. Operational data from questionnaire is comprehensive. Recommend obtaining: prior year financials (2022-2023), interim Q1 2026 results, detailed receivables aging by customer, inventory turnover by product category, and clarification on other income sources for more complete assessment.

DISCLAIMER:

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Intelligent Credit Insights

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